CITATION: Noonan v. Alpha-Vico, 2010 ONSC 2720
COURT FILE NO.: 08-CV-43478
MOTION HEARD: 20100330

SUPERIOR COURT OF JUSTICE - ONTARIO

RE: SANDRA NOONAN et. al. v. ALPHA-VICO et. al.

BEFORE: MASTER MACLEOD

COUNSEL: C. Jill Alexander for the "Sico defendants"

Dawn M. Searle for the "Alpha-Vico defendants"

Thomas P. Connolly for the plaintiffs & as agent for Mr. O'Brien

Allan R. O'Brien for the Upper Canada District School Board
(in writing only)

DATE HEARD: January 28th, 2010 & March 30th, 2010

REASONS RELEASED: June 28th, 2010

REASONS FOR DECISION

1] This motion deals with an important practice point. The plaintiffs sued nine alleged tortfeasors as a consequence of a fatal accident in a school. They have settled their claims against three of the defendants and discontinued the action against them. What obligation the settling parties have towards the non settling defendants is the question giving rise to the motion.

2] The defendant moving parties ask for an order for production and discovery against the settling defendants. They also seek full disclosure of the settlement agreement including the amounts received by the plaintiffs and all other terms of settlement. The procedural matrix against which this motion takes place is a bit unusual because, unlike many of the reported decisions, the non-settling defendants in the case at bar were sued in a separate action from the settling defendants. A subsidiary question then is whether this makes any difference or whether the principles that apply to proportionate liability settlement agreements such as Pierringer and Mary Carter agreements apply? In short, do such agreements have to be disclosed, at what time, and should suing in separate actions make any difference?

3] These reasons discuss the general principles that apply to disclosure of such agreements, to discovery of the settling defendants, and the application of those principles to the case at bar. I have concluded that the terms of settlement must be disclosed but the request for discovery of non-party former defendants is premature. I am prepared to make a preservation order as a term of the dismissal of that part of the motion. My reasons are as follows.

Background and structure of the two actions

4] This action results from the tragic death of an eight year old school boy. In December of 2006, J.N. was killed when a folding cafeteria table fell on him while he was moving it across the gymnasium at his school. This action is brought by his family against the designer, manufacturer and distributors of the table. It was commenced in December of 2008 but is only at a preliminary stage. There has as yet been no discovery and no mediation. For simplicity, I will refer to the current action as the "products liability action".

5] The family had commenced an earlier action against the Upper Canada District School Board and two of its employees. That action was commenced on November 29th, 2007. (Court file no. 07-CV-40073) I will refer to this as "the school board action".

6] In each action, the plaintiffs seek damages for the fatal accident. The only difference in the prayer for relief is that the products liability action claims damages that appear to be substantially higher than the damages claimed in the school board action and in the products liability action, there is a claim for "mental anguish" which is absent from the earlier action. Otherwise both actions seek damages under s. 61 of the *Family Law Act* for loss of guidance, care and companionship and special damages for income loss or other pecuniary losses. The plaintiffs have served a jury notice in the products liability action but did not do so in the school board action.

7] In fact the school board action did not progress beyond the pleading stage. The school board delivered a notice of intent to defend but no defence. Importantly for the purposes of this motion, there was no third party claim or other claim launched by the school board against the defendants in the products liability action. Those defendants of course are the manufacturer, distributor and vendor of the tables acquired by the school board for use in its school. The board did not advance a claim for contribution or indemnity from these defendants. Counsel for the school board has confirmed that the school board consciously elected not to make such a claim and he also confirms that due to the passing of the limitation period, it is not open to the board to do so now.

8] In the products liability action, the plaintiff has claimed damages in a manner designed to prevent the product liability defendants claiming contribution or indemnity from the school board under the *Negligence Act*. The plaintiffs' demands include "*damages, costs and interest attributable only to each Defendant's several share of liability to the Plaintiffs and joint liability to one another, if any, such that the Plaintiff's recovery shall be limited to recovering the damages, costs and interest attributable to each Defendant's several share of liability, or joint share of liability among them, proven against them at trial*"[1] For "*greater certainty*" according to the statement of claim, the plaintiffs "*limit their claim against the*

[1] Para 37, statement of claim

Defendants so as to exclude any additional claims for contribution and indemnity against any other unnamed party".

9] By thus limiting the claim in the products liability action, the plaintiffs exclude any claim against the defendants for the share of liability which is the responsibility of the defendants in the school board action. As recently affirmed by the Court of Appeal, the effect of such a pleading is also to prevent the defendants in the products liability action from claiming contribution or indemnity against the defendants in the school board action.[2]

10] As a consequence neither the school board defendants nor the products liability defendants can cross claim or issue third party claims against each other. Despite this fact, if the products liability action continues to trial, the proportionate fault of the board and its employees will be a central issue. This is because quite apart from substantive defences, the products liability defendants will be interested in minimizing their proportionate share of fault and proving that the causal acts or omissions giving rise to the accident were those of the board and its employees. Consequently the documents in the possession of the board and the evidence of its employees will be material and critical. Though the board will have no standing at the trial and no further exposure, it will in a very real sense be a participant.

The consolidation motion, the settlement, and the secret approval process

11] On November 12th, 2009 the defendants in the products liability action launched a motion to consolidate the school board action with the products liability action. Before that motion was heard, however, the plaintiffs discontinued the school board action. The discontinuance was filed on December 2nd, 2009 pursuant to a settlement that was apparently reached on October 5th, 2009. Though the settlement was apparently reached before the motion was launched, it required judicial approval because there are under age plaintiffs. The discontinuance was filed once that approval was obtained.

12] Because of the discontinuance, there was no longer a live school board action when the motion to consolidate came before me on January 28th, 2010. As a result the motion proceeded for the alternative relief. In particular the defendants argued for production of the settlement agreement and leave to discover the former defendants.

13] For reasons that are now apparent, there was a bit of confusion about the exact sequence of events. There was no material pinpointing the date and terms of the settlement or the terms of judicial approval. Of course the defendants were at somewhat of a disadvantage because they did not have an opportunity to participate in the hearing for judicial approval. In fact they were not even provided with proof of such approval. The plaintiffs were vague about the particulars.

14] What the court was told at the original hearing of the motion, was the settlement predated the commencement of the motion, the settlement had subsequently been approved by a judge and

[2] See *Taylor v. Canada (Minister of Health)* 2009 ONCA 487; (2009) 95 O.R. (3d) 561 (C.A.) and *Ontario New Home Warranty Program v.Chevron Chemical co.* (1999) 46 O.R. (3d) 130 (S.C.J.)

the record of the settlement and approval had been sealed. Counsel for the plaintiffs advised that he was not prepared to produce a copy of that order to the defendants or even to disclose the name of the judge to them. He indicated he would produce the order to the court. But he objected to anyone – even the court - inspecting the settlement agreement itself.[3]

15] Needless to say the defendants viewed this invisible approval process as both extraordinary and unjust. There was no notice to the defendants in the products liability action of the date and time for a hearing to approve the settlement in the school board action. Oddly, there was no record in the school board court file of judicial approval of the notice of discontinuance.

16] The mystery was dispelled for me at least when I subsequently reviewed the approval and sealing order. In a remarkable effort to keep the terms of settlement secret, the parties in the school board action did not bring a motion in that action. Instead they brought a separate free standing application for approval of the settlement in Brockville.[4] On December 2nd, 2009 the court in Brockville issued a consent order approving the minutes of settlement and also sealing the Brockville court file. The approval application and the order itself are therefore not matters of public record.[5] Because the defendants in the products liability action were not parties to the school board action and were not served with the notice of application, they could make no submissions to the judge hearing the matter about the propriety of sealing the file. Nor, obviously, could they request terms.

17] The issue before me is whether or not the settlement with the school board must now be disclosed to the defendants in the products liability action. The propriety of bringing an approval application in Brockville and the question of whether the defendants in this action should have been given an opportunity to participate in that hearing are not before me. Some of the cases I was referred to contain strong suggestions that any defendant that might be affected by approval of a partial settlement should be on notice and have a right to be heard[6] but none of those cases deal with defendants sued in separate actions. There may be counter arguments and it would be unfair for me to express a view on a point that could not be argued.

18] For that reason and because I expect the defendants will view the Brockville procedure as surprising and even surreptitious, I wish to be crystal clear that I am not ruling on that point. I have serious misgivings about the propriety of a secret approval process but those

[3] Counsel did not suggest that the sealing order constrained my jurisdiction to inspect the agreement if I felt it necessary to do so but he urged me to take notice of the fact that a judge had been satisfied that sealing was an appropriate order.

[4] I should note that though both the school board action and the products liability action are Ottawa proceedings, the events in question happened in Prescott and Brockville is named as the place of trial.

[5] Brockville court file no. 09-1210

[6] See in particular *Martin v. Listowel Memorial Hospital,* (2000) 51 O.R. (3d) 384 (C.A.) @ paras. 53 & 54. and *Laudon v. Roberts* 2009 ONCA 383 @ para. 39. This also appears to be the law in Alberta. See *Amoco v. Propak,* discussed later in these reasons.

misgivings play no part in my decision. The point could not have been addressed in argument because the defendants did not know about it. I have no idea what was disclosed to the judge in Brockville in what was probably a “basket motion” and I do not know whether the judge in making the sealing order was aware there were other defendants or that the action being settled was an Ottawa action. In fairness to the plaintiffs, the actions taken by counsel are entirely consistent with the position taken on the motion that the plaintiffs ought not to be required to reveal the terms of the agreement. I am told by both Mr. Connolly and Mr. O’Brien that the plaintiffs and the school board had agreed the settlement should be confidential. No doubt approval in Brockville appeared to be a process that might prevent inadvertent disclosure. The important point is I am making no findings one way or the other about the transparency or propriety of the Brockville application.

The hearing of the motion & position of the parties

19] Following the original hearing of the motion when I began to review my notes preparatory to writing a decision, I sent a memo to all counsel asking they confirm certain positions and statements made in argument or in response to questions from the bench. This was because representations were made in court that did not appear to me to be in the affidavit evidence or the factums. My memo also posed certain questions that had not been addressed in court but on reflection appeared to me to have potential importance to my decision.

20] I received detailed responses and I then permitted counsel an opportunity for further oral submissions. Counsel for the plaintiffs asked to make such submissions and also tendered another affidavit. At the follow up hearing on March 30th, I declined to take the new affidavit in substitution for the original but I did allow it to be filed as a supplementary affidavit. As a consequence, I have now had the benefit of the original argument, a follow up written response to queries set out in my memo, a supplementary affidavit, reattendance of counsel, further argument and inspection of the order made in the Brockville application. Though counsel for the board did not appear except through Mr. Connolly, he did make some written submissions. The positions of all parties are now clear.

The position of the parties

21] The moving party defendants seek disclosure of the amounts paid in settlement by the board and also the terms of settlement. They wish to know whether the settlement amounts were allocated amongst different heads of damage and whether there are terms of the settlement that might affect the position or the evidence of the board or its employees. The plaintiffs also wish an order directing the board to produce documents and to submit to discovery even though it is not a party to this action and is no longer a defendant in the discontinued school board action.

22] The plaintiffs acknowledge that the amounts received in settlement of the claims against the board must ultimately be disclosed. It is the plaintiffs’ position however that this should take place only after trial when the damages have been assessed. Then and only then they say may the defendants be entitled to a deduction for amounts already paid in compensation by the school board. The plaintiffs argue that these defendants should not be allowed the benefit of knowing at this time what the settlement with the school board is when according to the plaintiffs the products liability defendants have refused to discuss settlement.

23] I am advised it is a term of the school board settlement that the terms of settlement remain confidential. In addition to objecting to disclosure of amounts paid until after the trial, the plaintiffs vigorously oppose any disclosure of the actual terms of agreement or of the negotiations leading up to settlement over which litigation privilege is claimed.

24] The board agrees with the plaintiffs. The board asserts settlement privilege and its interest in keeping the terms of settlement confidential. The board advises that the settlement was without prejudice and without admission of liability and represents a decision to make a payment for reasons that are internal to the board and have not been disclosed to the plaintiffs or of course to these defendants.

25] The board acknowledges its role as a custodian of relevant documents and the role of its employees as key witnesses. Counsel for the board is prepared to provide relevant documents to the plaintiffs upon request. He also agrees that the defendants in this action have the right to seek discovery against the non party board in certain circumstances but he argues that such an order is premature prior to discovery of the plaintiffs in the products liability action.

26] Both the board and the plaintiffs object to court inspection of the minutes of settlement for the purposes of this motion and while they both acknowledge that the court may review the order approving settlement, they object to that order being revealed to the defendants because it contains information that would reveal aspects of the settlement they wish to hold in confidence.

27] Finally, in answer to my question on the point, both the board and the plaintiffs assert that the arrangement in question is not a *Pierringer* agreement because it "lacks certain of the hallmarks" of such an agreement. In particular the defendants are not co-defendants with the school board in the same action. The board does confirm that it has no right to claim against the defendants in this action because the right to claim over "expired on December 6, 2008" and because the board "chose for confidential reasons not to sue". The board in other words consciously chose not to make such a claim and the plaintiffs and the board both understand that any right to do so is foreclosed by the limitation period.

Analysis

28] I begin my analysis with a discussion of proportionate share settlements such as "Pierringer Agreements".[7] Whether the current situation may technically be described by this name is hardly the point. In my view the issue is not to create artificial technical classifications drawn from American case law. Reference to Pierringer agreements in Canadian case law has generally been used to describe proportionate share settlement agreements in which the settling defendant is removed from the action in contrast to "Mary Carter" type agreements in

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[7] Named after the Wisconsin case of *Pierringer v. Hoger* 124 N.W. 2d 106 (Wis. 1963)

which the settling defendant remains in the action and participates at the trial.[8] There are various kinds of agreements parties can enter into that may not mirror exactly the terms of the agreements in the original *Pierringer* or *Mary Carter* cases.

29] The outcome of the settlement with the board, notwithstanding the fact the defendants were sued in two separate actions, is very similar to the result in a Pierringer agreement. In such agreements, the plaintiff typically settles with one of the defendants in an action and releases it while continuing to pursue the remaining defendants. The plaintiff then limits its recovery against the non settling defendants to their several liability and typically indemnifies the settling defendant against any claims over by the co-defendants. It is also typical in such agreements for the settling defendant to agree not to claim indemnity from the non settling defendants and to agree to co-operate with the plaintiff by making documents and witnesses available for trial. In the case at bar, the pleading in the second action constrains the ability of the products liability defendants to claim over from the school board defendants and the school board has limited its own ability to claim against the products liability defendants. The result is very similar.

30] Although the consolidation motion was never argued it is probable it would have been granted since the actions arise from the same incident and the same set of facts. Had consolidation not been granted because the plaintiffs had been able to show prejudice, it is at least likely the actions would have been tried together or one after the other. In reality the products liability defendants are now in almost exactly the same position they would have been in had all defendants been joined in one action and a Pierringer agreement made with the school board. The court must now assess the degree of fault of a defendant that is no longer in the action without the active participation of that former defendant. The remaining defendants will require evidence from the settling defendant but will have no automatic discovery rights due to the fact that discovery and production did not take place before the settlement was reached. The products liability defendants have no right to claim indemnity from the school board and no automatic right to seek costs against the board even if the board is shown to have been 100% at fault.

31] In my view the case law dealing with proportional share settlement agreements such as Pierrenger and Mary Carter agreements is of assistance. Artificial division of causes of action into separate proceedings should not affect the outcome. The plaintiffs have settled with the board and pleaded the products liability action to avoid the application of the *Negligence Act*. Had the board not precluded itself from suing the product liability defendants and had the plaintiffs not limited the scope of their claim against the products liability defendants, there would have been cross claims or third party claims between the 9 defendants.

[8] See *J.D. Booth v. Mary Carter Paints* 202 So.2d 8 (Fla. App., 1967) The principal difference in a Mary Carter agreement is that the settling defendant remains in the lawsuit but caps its contribution to the damages regardless of liability. The settling defendant generally participates in the trial and actively seeks to establish the liability of the non settling co-defendants.

32] The point of this discussion is simply to stress that the case law in relation to Pierringer type of agreements is instructive whether or not the facts of this case should be classified as such an agreement. With that in mind, I will first discuss the question of discovery of the school board defendants.

Should the products liability defendants have discovery of the school board?

33] The defendants now seek discovery and production from the school board and its employees who were defendants in the school board action. There is a limited right to discovery of non parties to litigation provided in the Rules of Civil Procedure. This right to seek discovery of a non party exists whether or not the person or entity with relevant information has ever been sued. In the circumstances of this case, given the issues in dispute, it is abundantly clear that the board is a potential target for non party discovery. Counsel for the board acknowledges this possibility. The board is therefore on notice and it has a duty to continue to preserve relevant documents and evidence. The question at hand is whether the right to discovery should be granted now and whether the board should also be ordered to prepare an affidavit of documents?

34] Ontario's discovery and production regime is broader than some jurisdictions but more limited than others. I need not summarize our rules at length since they are well known to the parties and have recently been thoroughly examined by the Discovery Task Force and also by the Honourable Coulter Osborne. The principles underlying the Ontario regime were discussed at some length by the Court of Appeal in the case of *Ontario (Attorney General) v. Ballard Estate.*[9] and reviewed by Riley J. in *Pastway v. Pastway*[10] The rules impose a regime of full disclosure prior to trial. Part of the trade-off is that non-parties are "reasonably immune from the potentially intrusive costly and time-consuming process of discovery and production."

35] As a consequence of this trade off in our rules, parties have the right to production and either oral or written discovery from all other parties as of right. With respect to non-parties, discovery is available and orders for production of documents are also available with leave of the court. See rules 30.10 & 31.10. [11] These kinds of orders will be granted if justice requires it.

36] The caselaw has established that before seeking remedies against non parties, a litigant must generally discover the opposing parties and seek access to the information in that manner. In the case at bar, the school board has agreed to make documents available to the plaintiffs so presumably they will form part of the plaintiff's productions. It is possible those documents will include witness statements. While discovery of the board or its employees therefore remains a distinct possibility the preconditions for discovery of a non party have not yet been met. The question on a partial settlement is whether the settling defendants should be treated as non parties – which they are now by virtue of the notice of discontinuance – or be

[9] (1995) 129 D.L.R. (4th) 52
[10] (2000) 2 C.P.C. (5th) 18 (S.C.J.)
[11] Non parties may also be examined in aid of motions in appropriate circumstances. See rule 39.03.

subjected to special terms as a consequence of the fact that they were parties to litigation until recently?

37] Various cases were cited to me in argument on this point. There have been regular attempts to impose conditions on settling defendants in the context of court approval of partial settlements particularly settlements in the nature of Pierringer agreements. This has usually arisen in Ontario in the context either of class proceedings or infant settlements which are both regimes specifically requiring court approval of any settlement.

38] In the context of class proceedings the court is frequently asked to make a "bar order" prohibiting future claims for contribution and indemnity. In the majority of cases, the imposition of a discovery obligation has been denied on the basis that the ordinary test for discovery of non parties is sufficient. It has not been thought necessary to create a special rule for settling former defendants.

39] In *Ontario New Home Warranty Program v. Chevron Chemical Co.*[12] (*"ONHWP")* Winkler J. (as he then was) referred to the rights of the plaintiff to seek discovery and production under the Ontario rules as ameliorating the prejudice the non settling defendants might suffer if the settlement was approved. He did not order the settling co-defendants to submit to discovery but simply provided for these possibilities "on motion" by the non settling defendants and retained case management control over the proceeding. The record is silent as to whether or not any such order was subsequently sought or granted.

40] In *Gariepy v. Shell Oil Co.*[13] Nordheimer J. reviewed the decision and he emphasized the fact that Winkler J. had not imposed a positive duty on the settling defendants beyond that which might be imposed by the ordinary discovery rules. In *Gariepy* the court declined to make a discovery order "at this time" while approving a partial settlement in that class proceeding. "The non-settling defendants", wrote the judge, "retain their rights to seek discovery from DuPont if they can satisfy the court that such discovery is necessary".

41] Even in Alberta where discovery of a non party is not as readily available as in Ontario, the courts have been reluctant to impose discovery obligations on the settling parties. In *Amoco Canada Petroleum Co. v. Propak Systems Ltd.*[14] the Alberta Court of Appeal expressed the view that the rules in Alberta should be amended to provide a right of discovery against non parties similar to that in Ontario. The Alberta court approved the settlement even in the absence of such a rule even though the effect of doing so might deprive the defendants of discovery rights. In doing so, the Alberta court disagreed with the Court of Appeal of British Columbia which had declined to approve a similar agreement in *British Columbia Ferry Corp. v. T & N Plc*[15]. The Alberta court felt the B.C. court had been overly concerned with prejudice to a non-settling defendant and undervalued the importance of settlement. *Amoco v. Propak* has been cited with approval by our Court of Appeal.

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[12] (1999) 46 O.R. (3d) 130 (S.C.J.)
[13] (2002) 26 C.P.C. (5th) 358 (S.C.J.)
[14] (2001) 200 D.L.R. (4th) 667 (Alta. C.A.); leave to appeal refused, [2001] S.C.C.A. No. 383
[15] (1995) 27 C.C.L.T. (2d) 287

42] Ontario courts have generally not imposed a term requiring the settling party to produce documents or submit for discovery but have left it open for the non settling defendants to obtain that relief under the ordinary rules of civil procedure. I conclude from the above that even had the products liability defendants appeared before the judge approving the school board settlement, it is highly unlikely that the court would have made it a term of approval that the settling defendants automatically produce documents or submit to discoveries in this action. Since the ordinary rules address the availability of the relief, I see no reason to grant it prematurely.

43] The request for direct production and discovery may be renewed when discovery of the plaintiffs has been completed if proper grounds exist at that time. I certainly think it is appropriate that the board continue to preserve all evidence in its possession, power or control relating to the accident and its investigation. That information, including any witness statements is highly relevant in this action. A preservation order would be justifiable under the circumstances.

44] I turn now to the more complicated question of disclosure of the settlement.

Disclosure of the terms of settlement

45] The question of disclosure may be dealt with on the basis of first principles. Disclosure and withholding of information in civil proceedings is based on two competing principles of relevance and privilege. Under the first principle, all relevant evidence and information must be disclosed. Under the second principle, relevant information that is subject to a recognized claim of privilege may be withheld. This is subject to the important caveat that you cannot claim privilege and then use the information as evidence.[16] In addition, the court must now consider proportionality as an important interpretive element of the rules.[17]

46] Amounts received in partial settlement are relevant to the issues in dispute for several reasons. Firstly, defendants are entitled to know what losses and damages the plaintiffs are claiming and they are entitled to know what amounts have been recovered in mitigation of those losses. The relevance of all amounts received in mitigation was recently starkly illustrated by the decision of the Court of Appeal in *Laudon v Roberts.*[18] In *Laudon* the plaintiff had entered into a Mary Carter agreement with one of the defendants in which regardless of the outcome at trial, that defendant would pay a fixed sum.. At trial, the jury found the plaintiff's damages to be less than the settlement amount. The consequence of this according to the Court of Appeal was that the plaintiff had already more than recovered his damages so he was unable to recover any damages from the other defendants.

47] This outcome has been criticized because it seems to eliminate any advantage of entering into a Mary Carter agreement. That is a debate for another day and another forum. The point is that amounts received from any other defendant that have the effect of providing

[16] See rule 30.09 for example
[17] See rule 1.04 (1.1)
[18] (2009) 308 D.L.R. (4th) 422; 2009 ONCA 383; leave to appeal denied [2009] S.C.C.A. No 304

compensation will be considered in determining if the plaintiff has suffered losses that remain legally compensable. The extent to which plaintiffs have mitigated is relevant. This principle of avoiding double recovery of course is not confined to Mary Carter agreements. What was surprising to some in the decision of the Court of Appeal in *Laudon* was that it was applied even in the face of a Mary Carter agreement.

48] The plaintiffs concede that the amounts received must be revealed eventually but they take the view this should only occur after the trial. *Laudon* is cited as authority for this proposition because the procedure adopted at trial as discussed in paragraph 11 indicates that "the amount of the settlement … was to remain undisclosed until the jury rendered its verdict". There are sound reasons why the trier of fact should not be made privy to the amount of a partial settlement until after the assessment of damages. Similarly the trier of fact will not be told about insurance policies. This is not the same question as whether or not the amounts must be disclosed to the opposing parties? The questions of discoverability and of what documents must be produced in the disclosure phase of litigation are not the same question as admissibility at trial. In my view amounts received in mitigation are discoverable and should be disclosed as soon as they can be ascertained.

49] Calculation is a central issue at trial but knowing the amount actually in dispute is also critical to litigation planning and strategy. In general a defendant is entitled to know what the actual amounts in dispute are so that informed decisions may be made about whether to defend or offer to settle and what procedures may or may not be justified.

50] The principle of proportionality makes the actual damages as opposed to the pleaded damages additionally relevant because if the parties do not know what amounts are really at stake it is difficult to make informed decisions including proportionality as a principle. Proportionality is supposed to inform not only the decisions of the court concerning the application of the rules but also to inform the discovery planning that is now a mandatory step.[19] I do not suggest that the amount of damages is the only question in applying proportionality. For example, the family of the deceased child may think it is very important to hold these defendants to account in a public forum regardless of the amount of damages they can recover. Nevertheless the defendants are entitled to the information necessary to make informed cost benefit decisions about litigation and settlement strategy.

51] Other aspects of a partial settlement may also be relevant. For example it would be relevant if the former defendant has obligated itself to give access to all of its documents, to make witnesses available for interviewing or conversely if the plaintiff has restricted its ability to access such documents or information. It would be relevant if the former defendant has contractually bound itself not to co-operate with the other defendants or has agreed that it will extend such co-operation. One reason these kinds of agreements are relevant is because they may bring the documents or witnesses into the possession, power or control of the plaintiffs. This will be important for production and discovery planning. Similarly the former defendant may or may not have obliged itself to preserve documents and other

[19] See Rules 1.04 (1.1), Rule 29.2.03 (b) and Rule 29.1.03 (3) (e)

evidence. All of this will be important for the non settling defendants to know so that they may bring appropriate motions or factor this into the discovery plan.

52] Finally, it is fundamental to the operation of the adversary system that all parties know who is adverse in interest. This problem is particularly acute in *Mary Carter* type agreements because the settling defendant remains in the action but its position may be significantly different than that set out in the pleadings.[20] It will also be relevant however when the settling defendant is no longer in the action but will nevertheless be providing key evidence at trial. It will be relevant to know whether or not the settling defendants retain a financial or other interest in the outcome of the litigation. [21] It will also be important to know how the settlement might influence the position taken by the plaintiffs and the plaintiffs' witnesses at trial. The terms of settlement are thus broadly relevant to the conduct of the litigation.

Does privilege protect the settlement agreement ?

53] There is no question that the parties to the school board settlement intended their agreement to be confidential. Privilege protects relevant confidential information under appropriate circumstances. Generally privilege trumps relevance if the importance of protecting the confidentiality interest outweighs the importance of compelling its production in order to ascertain the truth. In many instances this analysis results in the conclusion that confidentiality must give way to the imperatives of justice. The most notable exceptions are those privileges that are themselves integral to the operation of the justice system; solicitor client privilege and litigation privilege being the most obvious.

54] More recently settlement privilege has emerged as a separate protected area so that information exchanged, proposals made and discussions taking place for the purpose of attempting settlement will be immune from production even if they are otherwise relevant.[22] Obviously settlement privilege will in many cases overlap with either litigation privilege or solicitor client privilege. Nor is it necessary for the purpose of this motion to explore the outer limits of the privilege, in what cases it may yield to the imperatives of justice and the extent which, like litigation privilege, it may be temporary.

55] Suffice to say that for the purpose of the products liability action, the negotiations between the school board and the plaintiffs would be protected by settlement privilege. Even if it is relevant and not otherwise privileged, I would not order production of notes of meetings, settlement proposals, settlement conference briefs or analysis or discussion leading up to the settlement itself. This is squarely covered by privilege.

[20] *Pettey v. Avis Car Inc.* (1993) 13 O.R. (3d) 725 (Gen.Div.)
[21] See *Laudon, supra* @ para 39
[22] See for example *Liquor Control Board of Ontario v. Magnotta Winery Corporation et. al.* (2009) 97 O.R. (3d) 665 (Div.Ct.) Of course it is also true that settlement discussions are largely irrelevant to the merits because unless they contain actual admissions they are probative of nothing while conversely actual evidence may not be concealed simply by using it as part of a privileged discussion.

56] In my view settlement privilege does not extend to the executed settlement agreement. The agreement itself is a contract entered into between the settling parties which is relevant to the remaining action with the non settling parties. Since I am speaking only hypothetically at this point, I would not rule out the possibility that in certain circumstances there may be aspects of a settlement agreement that must be disclosed and aspects of it that remain privileged. An agreement might contain terms that are irrelevant to the litigation or might disclose otherwise privileged information but it is impossible to determine whether or not there are any such provisions without inspecting the agreement itself.

57] Having reached this conclusion, despite the objections of counsel, I decided to inspect the minutes of settlement. My authority to do so is clearly set out in Rule 30.04 (6).

Actual Contents of the Agreement

58] After reading the minutes of settlement and the order of Pedlar J. approving the infant settlement, I am satisfied that few of the hypothetical issues addressed above apply. The minutes contain the amount to be paid to the plaintiffs and certain terms of release and indemnification of the defendants. The order allocates certain of the settlement funds for the benefit of the minor plaintiffs and of course also contains the confidentiality and sealing order. There is nothing in the minutes about production of documents, co-operation with the parties in the products liability action or conversely any restriction on such co-operation. The minutes recite that the agreement will be kept confidential and not disclosed except as required by law. As confirmed by counsel for the board, this contemplates court ordered disclosure in certain circumstances.

59] In my view the minutes of settlement and the approval order are relevant and are not privileged in this action. They must therefore be disclosed to counsel for the defendants. Because these documents remain subject to the sealing order in the Brockville application, the copies furnished to me for inspection will not form part of the motion record. The copies provided to counsel for the defendants will be marked confidential by the plaintiffs and they are not to be disclosed to any non party to the litigation. The agreement and the order may be provided to the trial judge in a sealed envelope for the use of the court but unless the judge otherwise orders, the amounts paid in partial settlement will not be disclosed to the trier(s) of fact until after the court has assessed the plaintiffs’ damages. This is consistent with the procedure adopted in *Pettey v. Avis Car Inc., supra.*

Conclusion and order

60] In conclusion, for the reasons given above, an order will issue as follows:

a. The plaintiffs are to produce the minutes of settlement and the approval order resolving the school board action to counsel for the defendants in this action.

b. The said agreement and order remain subject to the confidentiality order of Pedlar J. made in Brockville application no. 09-12110.

c. The defendants may not disclose the minutes or the order to any other person without the consent of the plaintiffs or further order. The said documents may be provided to the trial judge in a sealed envelope for the use of the court but unless otherwise ordered by the trial judge, the amounts received in settlement of the school board action will not be disclosed to the trier(s) of fact until after the plaintiffs' damages have been assessed.

d. The motion for a production and discovery order against the Upper Canada District School Board is dismissed but without prejudice to such a motion being renewed after discovery of the plaintiffs on proper grounds.

e. As a term of this order, the Board is directed to preserve all relevant documents or other evidence in its possession, power or control which relate to the issues in this action and without limiting the generality of the foregoing is to preserve any witness statements or investigation reports.

61] The defendants have been partially successful on the motion. Although they did not succeed on the motion to compel the board to submit to discovery, they have been successful on the disclosure motion. Counsel for the plaintiff argued the motion on behalf of the board. Counsel for the Sico defendants argued the motion on behalf of both defendants. As a consequence, taking into account the nature of the relief sought and granted and on reviewing the costs outlines submitted by all parties, the moving party defendants shall have modest costs of the motion on single counsel basis and on a partial indemnity scale. Those costs are fixed at $4,500.00.

62] The action remains case managed and I may be spoken to for further direction if required.

Master Calum MacLeod

DATE: June 29th, 2010